SUPERK-TAXI KOREA · HEAD OF STRATEGY

Deep Dive Strategy Presentation

Becoming Korea's #2 app-taxi platform by end-2026

Back-to-basics growth plan: vehicle & driver supply, Korean user experience, regulation and future-proofing

Prepared for: Korea CEO (newly appointed) and Asia Regional Strategy Head

Date: May 2024 · Plan window: H2 2024 onward (changes effective August 2024)

Status: Draft for strategic discussion and investment planning. Not for external distribution.

Market data as of May 2024 from public sources and team estimates. Items marked (est.) or (verify) are assumptions to be validated before investment committee use (see Appendix A3).

EXECUTIVE SUMMARY

SuperK-T can become Korea's #2 app-taxi platform by end-2026, but only if we fix driver supply first

1 · Where we stand (candid)

- **Sub-scale:** ~2% of Korea's app-hailed taxi trips (est. ~8M trips/yr) vs. Kakao T at ~80%+ of app calls.
- **Supply is the binding constraint:** ~2.5k daily-active drivers. Each +1 pt of share needs ~1.4k more drivers (2026 basis).
- **Brand and UX lag (to confirm in audit):** rebrand is new; Korean-native flows (Kakao/Naver login, Korean payments, call-first booking for seniors) are assumed to trail Kakao T.
- **Regulation fixes the perimeter:** licensed taxis only under the Passenger Transport Service Act. Private-car ride-hailing is excluded from our plan.
- **Economics are tight:** drivers multi-app. A fee or incentive war with Kakao T would burn cash without fixing supply.

2 · What we will do: back to basics

- **Win supply:** 150+ taxi-operator partners, fair 10% driver commission, daily payouts, off-peak earnings floor, EV/hybrid co-finance.
- **Win the moments that matter:** late-night safe return, Incheon/Gimpo airport, corporate accounts, seniors and hospital trips.
- **Be Korean-native:** KakaoTalk, Naver and Toss integrations; road-name and apartment-complex address search; 24/7 Korean-language support.
- **Operate like a utility:** weekly scorecard on pickup time, acceptance and cancellations; pre-funded Seollal and Chuseok surge playbook.
- **Future-proof:** EV/hybrid ~25% of partner fleet by 2026, AI dispatch, taxi-operator SaaS, regulatory pathway via innovation zones.

3 · Ambition and decisions requested

Ambition: Dec-2026

- Share of app-hailed trips: **7% base / 10% stretch** (est. #2 incumbent at ~5–6%)
- Daily-active drivers: **9.8k base / 12.7k stretch** (+7–10k)
- Gross take run-rate: **KRW 71.5B base** (≈USD 52M) / KRW 102B stretch

Decisions for an August 2024 start

- **A.** Approve KRW 71.5B 24-month envelope in 3 gated tranches (25 / 25 / 21.5)
- **B.** Approve driver economics reset (10% tier, earnings floor, daily payout)
- **C.** Mandate fleet-partner and EV/hybrid finance programme; shortlist finance partners by Sep-24
- **D.** Approve regulator and taxi-association engagement; no unlicensed models
- **E.** Appoint Head of Driver Supply and Korea Product Lead by 1 Aug 2024

7% / 10%
Share of app-hailed trips, Dec-26 (base / stretch), from ~2% today

+7–10k
Daily-active drivers to add by Dec-26; ~4.6–6.4k partner vehicles

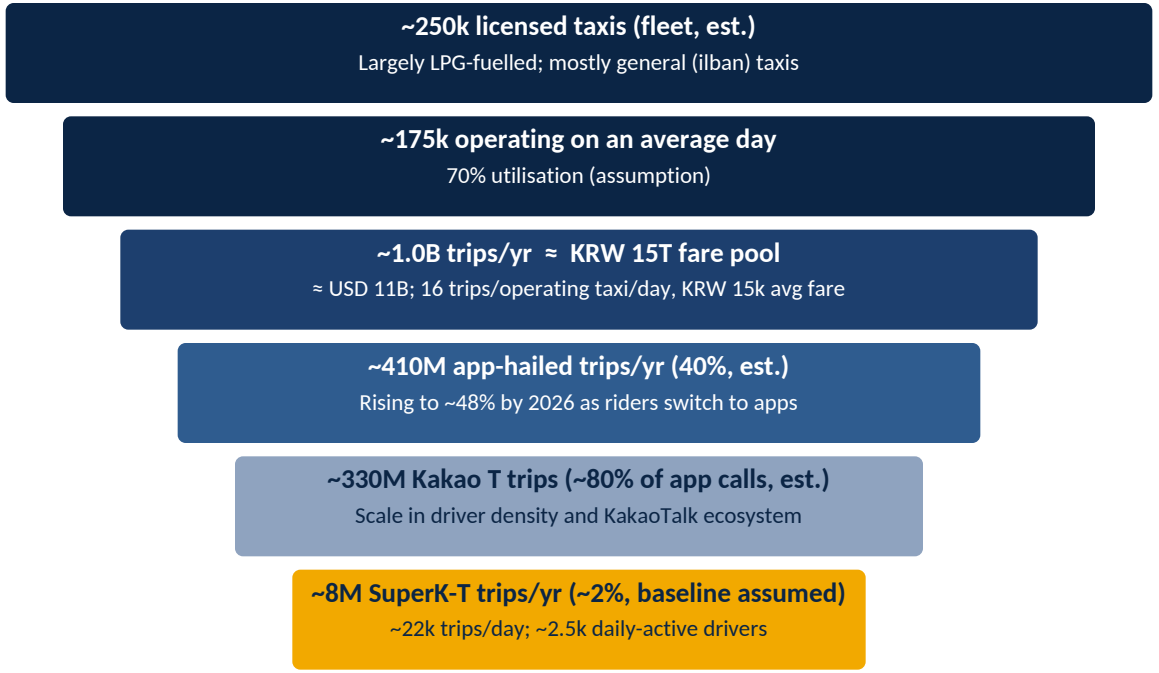
KRW 71.5B
24-month envelope (≈USD 52M), released in three gates

~3 yrs
Run-rate payback in base case (~2 yrs in stretch); to be re-tested

Source: team analysis; public estimates as of May 2024 (MOLIT, KNJCTA, KOTSA, company disclosures) and internal-model assumptions. (est.) = estimate; internal baseline (share, driver count) is an assumption to be replaced with operating data before IC. Detail: Appendix A1, A3.

Market reality: a ~KRW 15T licensed-taxi fare pool is moving to apps, where Kakao T holds ~80% of app calls

Taxi market funnel, 2024 (illustrative model, est.)



What drives the market, and what it means for us

Size and shift

- Fare pool ≈ KRW 15T/yr (≈USD 11B). App-hailing is the growth vector: est. 40% of trips today, ~48% by 2026.
- Growth must come through licensed taxis and their drivers. Private-car ride-hailing is not permitted.

Structural constraints

- **Driver shortage and ageing:** industry estimates show a shortfall in the tens of thousands; most drivers are aged 60+ (KNJCTA; verify).
- **Fares and surcharges** are set or approved by local authorities; late-night surcharges are standard, so pricing is a regulated lever.

Demand moments

- Seoul Metropolitan Area (~26M people, about half of Korea) is the core. Peaks: late night, rain, Seollal/Chuseok, airport transfers.
- **Safety matters:** ~2,500 road deaths/yr (KOTSA). Trust drives choice for women, families and seniors.

So what: the market is large enough to support a credible #2. Share will be won on driver supply, reliability and trust, not headline price. Kakao T's lead rests on driver density and its ecosystem; we cannot out-spend it in 2024, so we must out-serve it in specific moments.

Sources: MOLIT transport statistics (fleet, order of magnitude); KNJCTA (driver age & shortage; verify latest edition); KOTSA road-safety statistics (~2,500 road deaths/yr, 2022–23); KOSTAT (SMA population ~26M); Incheon Airport Corp. (~56M passengers, 2023). Funnel = team model (Appendix A1); FX KRW 1,370/USD.

Candid position: we are sub-scale with no network-effect lead; Kakao T's driver density sets the bar we must close

Player	Position (est., May 2024)	Edge	Weakness	Our response
Kakao T (Kakao Mobility)	Dominant: ~80%+ of app-hailed calls	Largest driver density; KakaoTalk ecosystem; premium tiers	Fee perception; scrutiny of platform power; drivers multi-app	Be the fair-fee 'second app' drivers keep on; win specific moments, not head-on price
T map Taxi (SK Telecom)	Fast-growing challenger (share: verify)	Navigation distribution via Tmap; telco CRM	Thinner taxi-operator relationships	Deep-link navigation; differentiate on operator partnerships and service quality
Tada (VCNC)	Sub-scale; shaped by chauffeur-model regulatory cases	Brand awareness; premium heritage	Legal exposure; limited supply	Stay strictly licensed; learn from its regulatory path
Uber Taxi (licensed)	Small in Korea; licensed-taxi hailing only	Global tech; corporate travel programmes	Limited local brand and driver supply	Target corporate and airport partnerships; benchmark for B2B
SuperK-T (us)	~2% (est.); freshly rebranded	Asset-light model; Asia platform and tech stack; clean-start brand	Low awareness; ~2.5k daily drivers; Korean UX gaps (assumed)	Fix supply and UX first, then scale marketing

Hurdle diagnostic

RED — **Vehicle & driver supply**

Binding constraint: need +7–10k daily-active drivers and +4.6–6.4k partner vehicles.

AMBER — **Korean user experience**

Not yet Kakao/Naver/Toss-native; senior and call-first flows missing (to confirm in UX audit).

AMBER — **Regulation & policy**

Licensed-only perimeter; fare and fee scrutiny; taxi unions sensitive to app-led change.

AMBER — **Brand & trust**

Awareness low after rebrand; safety record must be visible and verifiable.

AMBER — **Unit economics**

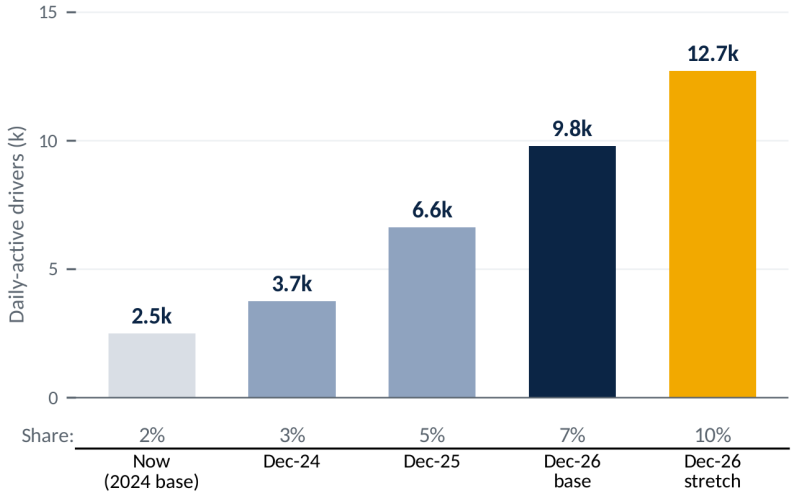
Take rate must fund driver supply without a price war.

Opportunities to exploit: (1) driver frustration with multi-app fees and dispatch (to validate in a driver survey); (2) an ageing fleet and EV/hybrid transition; (3) airport, corporate and senior segments under-served by mass apps; (4) the government's mobility-innovation agenda for pilots in innovation zones.

Sources: company websites and press coverage (Kakao Mobility, SK Telecom T map, Tada, Uber Korea); team estimates of shares (est.) as of May 2024; RAG = team assessment, to be validated by the 30-day internal audit (Appendix A2). Competitor shares are indicative only.

Supply engine: add ~7–10k daily-active drivers and ~4.6–6.4k partner vehicles by Dec-26, asset-light for us

Daily-active drivers needed, by share milestone



- Each +1 pt of app share ≈ +1.4k daily-active drivers (2026).
- Stretch case = ~5% of Korea's licensed fleet driving on our app.
- AI dispatch lifts trips per driver-day from 9 to 10–11.

≥60% / ≥65%	applicant-to-active conversion / 90-day retention targets
~KRW 0.75M	cost per activation (sign-on, training, verification)
~12k / ~16k	gross driver activations in 24 months (base / stretch)

Lever	What we will do (Aug-24 to Dec-25)	KPI (Dec-26)
1 Fleet-partner network	Sign 150+ licensed taxi operators on a revenue-share basis (50 by Dec-24). Operators keep vehicle ownership; we fund onboarding, not fleets.	4.6–6.4k partner vehicles active
2 Driver acquisition engine	Digital onboarding in <48 hours; referral bonus of KRW 300k after 30 active days; pipelines with taxi-training institutes; recruit drivers between jobs and ex-drivers.	~12–16k gross activations (24 mo)
3 Fair economics	10% driver commission tier (drivers keep 90%); no driver-side call fees; daily instant payouts; transparent weekly statements.	Driver NPS ≥ +30
4 Earnings floor & surge pool	Guaranteed hourly floor for off-peak blocks; pre-funded surge pool for Seollal, Chuseok, monsoon and snow days.	90-day retention ≥65%
5 EV/hybrid vehicle finance	Co-finance with 2–3 captive auto-finance partners; KRW 3M deposit support per car; 36-month buy-back option; charging-partner tie-ups.	~1,500 EV/hybrid cars (~25% of partner fleet)
6 Driver quality & safety	Safety score and dashcam incentive; 24/7 Korean-language driver support; flexible shift blocks for senior drivers; quarterly driver council.	Incidents per 10k trips −30%

Model (Appendix A1): 2024 baseline 8.2M trips/yr at 9 trips per daily-active driver; 2026 share path 3% (Dec-24), 5% (Dec-25), 7%/10% (Dec-26); 1.6 drivers per vehicle (shift model); ~40% annual driver churn; app market 409M (2024) → 510M trips (2026). Cost per activation = KRW 9B ÷ ~12k activations.

Demand & operations: win four high-value Korean moments with native UX and reliable pickup, not mass-market price

A · Late-night & safe return (22:00–04:00)

Target: ≥20% of trips from night slots by Dec-26

- Share trip status with family in KakaoTalk
- Female-driver request option; SOS and live trip tracking
- Night surcharge shown upfront, per regulated rates

B · Airport & intercity

Target: ~10% of trips by Dec-26

- Fixed-fare pre-booking for Incheon and Gimpo
- Terminal-specific pickup guidance; queue-free booking
- Seoul–Incheon and Seoul–Gyeonggi bundles

C · Corporate & SME accounts

Target: 500 active accounts by Dec-25

- Monthly invoicing; expense-system export
- Approval rules and duty-trip reporting
- Sales-led (not app-only); account managers in Seoul

D · Seniors & hospital trips

Target: ~8% of trips by Dec-26

- Phone and ARS booking; large-font mode
- 'Book for a parent' from a child's app
- Hospital pickup pins and appointment-time booking

Korean-native UX: Q3–Q4 2024 releases

- **Log-in and pay:** Kakao and Naver login; Kakao Pay, Naver Pay, Toss and cards
- **Navigation hand-off** to Naver Map, Kakao Navi and T map
- **Hangul search** for road-name addresses (도로명주소), POIs and apartment complexes; pickup pins for top 10k complexes
- **Upfront fare estimate** with transparent night and holiday surcharges
- **Call-first fallback:** Korean phone line and KakaoTalk channel; answer in <60 seconds

Operating scorecard (Seoul metro, weekly)

KPI	Dec-24	Dec-26
Median pickup time, peak	≤6 min	≤4 min
Acceptance rate	≥80%	≥90%
Cancellations (both sides)	≤8%	≤5%
App CSAT (of 5)	≥4.3	≥4.6
Trips per daily active driver	8	11

Holiday & weather playbook: pre-funded surge pool for Seollal, Chuseok and monsoon days; drivers pre-enrolled two weeks ahead; one ops lead owns the weekly scorecard.

Targets are proposals for IC review. Segment sizing is directional (team estimates). Korean-native features reflect typical Korean app-stack expectations; the UX gap audit (Q3 2024) will confirm priorities. Night and holiday surcharges must follow local regulated fare rules.

Future-proofing: four pathways to durable #2 leadership, funded in three gated tranches (KRW 71.5B over 24 months)

1 Electrify the fleet

- EV/hybrid ~25% of partner fleet (~1,500 cars) by Dec-26
- Charging-partner tie-ups; per-trip CO_2 reporting for corporate clients
- Positions us for ESG disclosure and subsidy access

2 AI dispatch & pricing

- 15-minute demand forecasts; repositioning prompts for drivers
- Cut empty-mile ratio; target +10–20% trips per driver
- Pricing kept within regulated fare rules

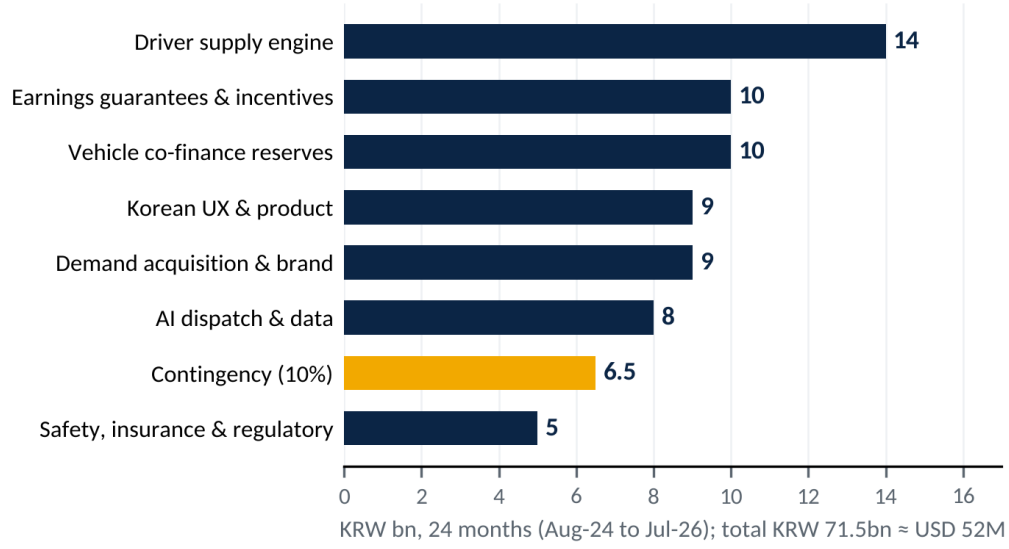
3 Mobility platform & B2B

- Taxi-operator SaaS (dispatch, driver management, safety analytics) as a second revenue line
- First/last-mile tie-ins with Seoul night buses and subway

4 Regulatory-ready innovation

- Stay licensed through 2025
- Pilot premium and shared-taxi products in regulatory innovation zones
- Monitor private ride-hailing as an option, not in base plan

Investment envelope (KRW bn, Aug-24 to Jul-26)



KRW bn, 24 months (Aug-24 to Jul-26); total KRW 71.5bn ≈ USD 52M

Phased roadmap and gates (tranches: 25 / 25 / 21.5)

Phase 1 · Aug–Dec 2024 — Fix & fund

Fee and earnings reset live; 50 operator partners; 2 EV-finance partners; Kakao/Naver login, payments and road-name search live.

Gate 1 (Dec-24): share ≥3%; ≥4k daily-active drivers; 90-day retention ≥60% → releases Tranche 2 (KRW 25B, Jan-25)

Phase 2 · 2025 — Scale Seoul metro

150 operator partners; corporate and airport launch; AI dispatch v1; senior booking line; taxi-SaaS discovery.

Gate 2 (Jun-25): share ≥4%; ≥5.5k daily-active drivers → releases Tranche 3 (KRW 21.5B, Jul-25)

Phase 3 · 2026 — Lead & expand

EV/hybrid ~25% of partner fleet; SaaS pilot; decide Busan/Daegu entry as separately funded case.

Gate 3 (Dec-26): share 7% base (10% stretch) and #2 position → unlocks 2027 plan

Sources: IEA Global EV Outlook 2024 (Apr-24); Seoul and national EV/hybrid taxi subsidy programmes (verify 2024 amounts); Uber Vehicle Solutions and Lyft Express Drive (driver vehicle programmes); Japan's licensed-taxi app model (GO). Investment envelope = team proposal (Appendix A1); gates are proposals for CEO sign-off.

DISCUSSION & Q&A

Questions for the Korea CEO and Asia Regional Strategy Head to resolve before the August start

1. **Risk appetite.** Are we willing to prioritise supply and driver economics over a rider price war with Kakao T in H2 2024?
2. **Fee model.** Is a 10% driver commission plus a KRW 500 passenger fee acceptable, given fee scrutiny by regulators and taxi associations?
3. **Partnerships.** Which 10 taxi operators do we approach first, and who leads: Korea team or Asia partnerships team?
4. **Technology.** Do we reuse the Asia dispatch and AI platform, with a Korea-specific UX layer for Kakao, Naver and Toss integrations?
5. **Regulation.** Do we hold the licensed-only perimeter through 2026, even if MOLIT signals pilots for private-car models?
6. **Capital.** Should the KRW 71.5B envelope be funded from Asia regional capital or Korea local budget? What payback hurdle applies?

Next 30 days (to 30 June 2024)

- Replace assumed baseline with actual trips, drivers and share from operating data (Finance + Ops, 15 Jun)
- Driver survey (n≈500) on fees, payouts, multi-app use and earnings floor (30 Jun)
- UX audit against Kakao T and T map on login, payment, address search and senior flows (21 Jun)
- Shortlist 10 taxi operators and 2 EV-finance partners; draft term sheets (30 Jun)
- Legal opinion: PTSA perimeter, fee and surcharge rules, PIPA location-data consent (21 Jun)
- Investment committee paper for Tranche 1 (KRW 25B), with gate KPIs (30 Jun)

Facilitation note: items A–E on the executive summary are the decisions requested. Questions 1–6 are the points where we most need alignment before the investment committee paper.

Model inputs and outputs: every number used in this deck, with its basis and what must be verified

Input	Value used	Basis	Conf.	Verify with
Licensed taxis (fleet)	~250,000	MOLIT-scale estimate	M	MOLIT transport statistics (latest year)
Operating share of fleet per day	70%	Assumption	L	Operator / telematics data
Trips per operating taxi per day	16 (range 15–20)	Assumption	L	Operator data; Seoul surveys
Average fare	KRW 15,000	Mix of day, night and holiday fares	L	Seoul / Gyeonggi fare notices; card data
Fare pool (derived)	KRW 15.3T ≈ USD 11.2B	Trips × fare; FX KRW 1,370	L–M	—
App-hailed share of trips	40% (2024); 44% (2025); 48% (2026)	Estimate of app penetration	L	App intelligence (Wiseapp / Mobile Index)
Kakao T share of app calls	~80%	Press and industry estimate	M	Kakao disclosures; app intelligence
SuperK-T share path	2% base; 3% Dec-24; 5% Dec-25; 7% / 10% Dec-26	Internal assumption	L	Internal trip data (replace before IC)
Trips per daily-active driver-day	9 today; 10 / 11 by 2026	Assumption; AI dispatch uplift	L	Internal dispatch data
Drivers per vehicle	1.6 (shift model)	Assumption	L	Partner-operator data
Gross take per trip	KRW 2,000 (≈10% commission + KRW 500 passenger fee)	Proposal	L	Pricing test; regulatory review
Contribution per trip	KRW 900	After payment fees, insurance, CS, promotions	L	Finance model
Market trip growth	+2% per year	Assumption	L	MOLIT trend data

Output (run-rate, 2026)	Today (2024)	Base (7%)	Stretch (10%)
App-hailed trips per year	8.2M	35.7M	51.0M
Daily-active drivers	~2.5k	~9.8k	~12.7k
Partner vehicles (1.6 drivers each)	~1.6k	~6.1k	~7.9k
Gross take (KRW bn / yr)	~16	71.5	102.1
Run-rate payback on KRW 71.5B	–	~2.9 yrs	~1.9 yrs

Model sensitivity (base case): ±10 pts of 2026 app share moves the driver ask by ~±2k; ±1 trip per driver-day moves it by ~±1k. Refresh the model with operating data before IC.

Source basis: Strategy team market and driver-supply model (workbook available on request); public estimates as of May 2024. Confidence: H = official statistic; M = industry or press estimate; L = assumption. Gross take and contribution are proposals pending regulatory review of fee structure.

APPENDIX A2 · RISK REGISTER

Key risks: incumbent response, regulatory tightening and driver loyalty matter most; each has a named early-warning KPI

Risk	L	I	Mitigation	Early-warning KPI	Owner
Kakao T responds with driver or rider incentives, pulling drivers away	H	H	Fair-fee positioning; no rider price war; earnings floor; target specific moments	Weekly driver churn; acceptance rate	Head of Driver Supply
Regulatory tightening: fee, call-fee or surcharge caps (take −20% scenario)	M	H	Licensed-only model; early MOLIT and Seoul engagement; scenario plan for fee caps	Policy watch; fare and fee notices	Regulatory Affairs
Taxi-association or union opposition to app-led change	M	M	Operator revenue share; earnings floor; joint pilots; driver council	Operator partner count; complaints	Partnerships Lead
Safety incident (assault, accident) harms brand	L–M	H	Driver vetting; dashcam incentive; SOS; female-driver option; incident playbook	Incidents per 10k trips; SOS response time	Safety & Ops Lead
EV/hybrid finance: residual values or subsidy changes	M	M	36-month buy-back; diversified finance partners; economics that work without subsidy	Lease default rate; residual value tracking	CFO
Low driver loyalty (multi-apping, churn)	H	M	Daily payouts; earnings floor; flexible shift blocks	90-day retention; multi-app share (survey)	Head of Driver Supply
Fuel (LPG) and FX shocks raise costs	M	M	Fuel-linked surcharge rules where permitted; hedge USD tech costs	LPG price; KRW/USD	CFO
Execution: hiring and localisation delays	M	M	Korea CEO-owned hiring plan; reuse Asia platform; monthly milestone review	Milestones vs roadmap	Korea CEO

L = likelihood, I = impact (H / M / L); team assessment as of May 2024. Owners to be confirmed by the Korea CEO. Early-warning KPIs are reviewed weekly in the operating scorecard.

Sources and verification status: several headline figures are estimates and must be checked before investment use

Source	Used for	Confidence	Status / action
MOLIT (Ministry of Land, Infrastructure and Transport): transport statistics	Taxi fleet size, operators, fuel mix	High (official)	Verify latest year
KNJCTA (Korea National Joint Conference of Taxi Associations)	Driver age profile; shortage estimates	Medium (industry)	Verify latest edition
KOTSA (Korea Transportation Safety Authority): road-safety statistics	~2,500 road deaths/yr; taxi safety baseline	High	Verify 2023 release
KOSTAT (Statistics Korea)	Population; Seoul Metropolitan Area ~26M	High	—
Incheon International Airport Corporation	Airport passenger volume (~56M, 2023)	High	Verify
Seoul Metropolitan Government and local fare notices	Base fares; night and holiday surcharges	High	Verify current notice
Korea Fair Trade Commission; PIPC (Personal Information Protection Commission)	Platform oversight; PIPA rules for location and payment data	Medium–High	Monitor; legal opinion
Ministry of Environment and local governments	EV/hybrid taxi subsidy programmes	Medium	Verify 2024 amounts
Company disclosures and press: Kakao Corp, SK Telecom (T map), Uber and Grab (Q1 2024 results)	Competitor context; global benchmarks	Medium	Refresh before IC
App intelligence (Wiseapp / Retail, Mobile Index)	App usage and share estimates	Medium	Refresh; buy data if needed
IEA Global EV Outlook 2024 (April 2024)	EV adoption context	High	—
Global benchmarks: Japan's GO licensed-taxi app; Uber Vehicle Solutions and Lyft Express Drive; Grab/Gojek driver incentives	Operator model; driver vehicle finance; incentive design	Qualitative	Informs design only
Internal SuperK-T operating data	Share, drivers, trips per driver-day (baseline)	Assumed in this draft	Replace before IC (Finance + Ops)

Verification status: this draft was compiled in May 2024 from the team's public-source knowledge base; live web verification was not possible during drafting. Items marked 'verify' must be checked against the latest publication before IC use.